



zalando



ABOUT|YOU[®]

A Dual-Brand Strategy for the future of fashion E-Commerce

Group 8
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Meet the Team

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Agenda

- Companies overview
- Strategic positioning of Zalando and ABOUT YOU
- Value proposition evolution
- Strategic plan and financial outlook

Executive summary

- Our strategy is a dual-brand focus on **sustainability**, **sportswear** and **luxury**, positioning Zalando as a premium lifestyle destination and ABOUT YOU as the leading social-trend platform.
- The second-hand market is projected to **more than double**, aligning with evolving consumer values and our circular fashion initiatives. Sportswear market is growing at a 9.9% CAGR, representing a key growth segment where both brands can capture **distinct customer segments**. And 59% of Zalando customers are willing to pay more for good quality.
- We will execute a 3-year plan, leveraging **functional, business and cultural integration**, while distinctly positioning each brand to avoid cannibalization and maximize market coverage.
- The strategy is projected to deliver a **35% topline increase**, driving the Group's **EBIT margin to 14.5%** and **growth rate of 7.6%** in 2028.

July 11, 2025 Zalando completed the strategic acquisition, increasing its stake to 91.45% of shares

Companies overview



15.3k
employees



In **26** European
countries



€10.6 Billion
total group revenue



€511 Million EBIT
before acquisition



52 Million
active customers



1.2k
employees



In **28** European
countries



€2 Billion
group revenue



€28 Million EBIT
before acquisition



13 Million
active customers

High brand loyalty drives Zalando, but lacks specialization against competitors

Zalando's strategic positioning



Strength

- ▶ High **brand awareness** and market share in all key European markets
- ▶ High-level **digital capabilities** enable **personalized recommendations** and improved conversion rates
- ▶ **Low purchasing friction** caused by free delivery and post-delivery payment
- ▶ **Outstanding logistics network**



Weakness

- ▶ High **return rate** results in **high logistical costs**
- ▶ No **differentiation** from the competition due to a lack of **specialization**
- ▶ Struggling with the “**Attitude behavior gap**”, promotes **sustainability** but acts still as a **large-volume**, fast-moving fashion platform



Customer

“Everything fashion, for everyone”

- ▶ Most of the customer base is female (approx. 57%)
- ▶ **Busy** and mostly **mainstream** shoppers **professionals**
- ▶ Evolving from fast-fashion to **designer** and **sustainable options**
- ▶ Preference for **functional**, **reliable** shopping over trend-led

About You's social, personalized model strengthens its appeal to younger consumers but limits scale and operational reach

About You's strategic positioning



Strength

- Established themselves as a **personalized fashion destination** for **young** customers
- Strong **social media presence** with high influencer engagement (25,000+ network)
- Mastered the "**digital shopping stroll**" experience
- Rapid international** expansion across the EU

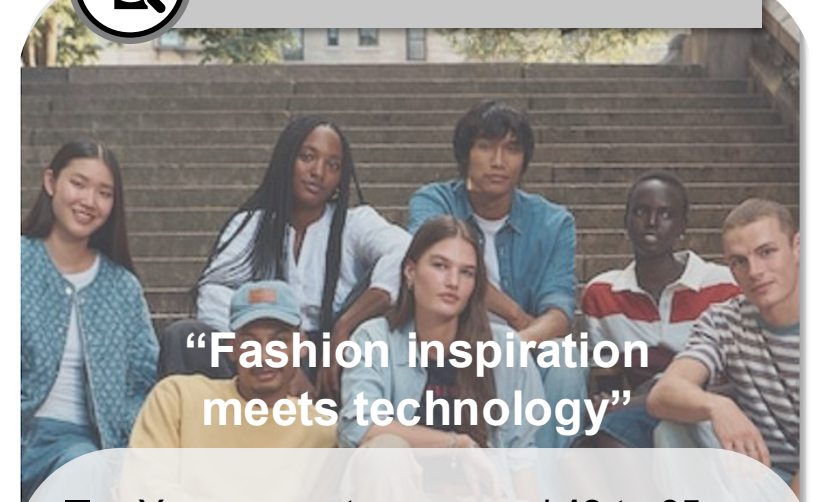


Weakness

- Small in scale** can limit its **bargaining power** with brands and its investment capacity
- Lack of **sophisticated logistical capabilities**
- Brand **recognition outside** the DACH region not yet strong



Customer



"Fashion inspiration meets technology"

- Younger customers aged **18 to 35**
- they are **trendy** and **fashion-forward**
- Seeking a **personalised shopping experience**
- Emphasis **on individual expression**
- High engagement with **influencer-driven** marketing

Frequent competitive overlap demands strategic branding differentiation

Competitive landscape

	Online generalists / Large fashion marketplaces	Sportswear and active lifestyle specialists	Ultra-fast fashion competitors	Premium online retailers	Sustainable and second-hand marketplaces
Target	Gen Z and Young Millennials	Active consumers, mid-to-high income	Gen Z, price-sensitive, trend-oriented	Affluent Millennials and Gen X	Conscious consumers and Gen Z
Zalando	Competitiveness in terms of price, product range, and logistics efficiency	Compete on distribution partnerships and brand visibility	Compete for younger audience share and fast fashion assortment breadth	Compete on differentiation , customer experience and exclusive brand collaborations	Compete as it scales pre-owned fashion and sustainable lines
ABOUT YOU	Compete on digital engagement, trend curation , and influencer-driven marketing	Compete on lifestyle storytelling and community activation	Compete through trend adoption speed , mobile-first engagement and influencer collaborations	Compete via premium curation, exclusive brand collaborations , and storytelling	Compete through Gen Z sustainability engagement and resale integration

☐ Which brand is more competitive

Market trends reveal clear opportunities for growth paths: premium for Zalando, sport and sustainability for both brands

Market trends



Following these trends, a dual-brand model defines two distinct and complementary value propositions

Future distinct positioning of both brands



Positioning Statement

- Premium quality fashion & lifestyle

- Trend discovery & Social fashion

Target Audience

- **Mature customers** aged 25-55 with **medium/high purchasing power**
- Fashion enthusiasts who value quality, service and brand value

- **Young consumers** 18-30 who chase **trends** and **follow community** recommendations

Core Promise

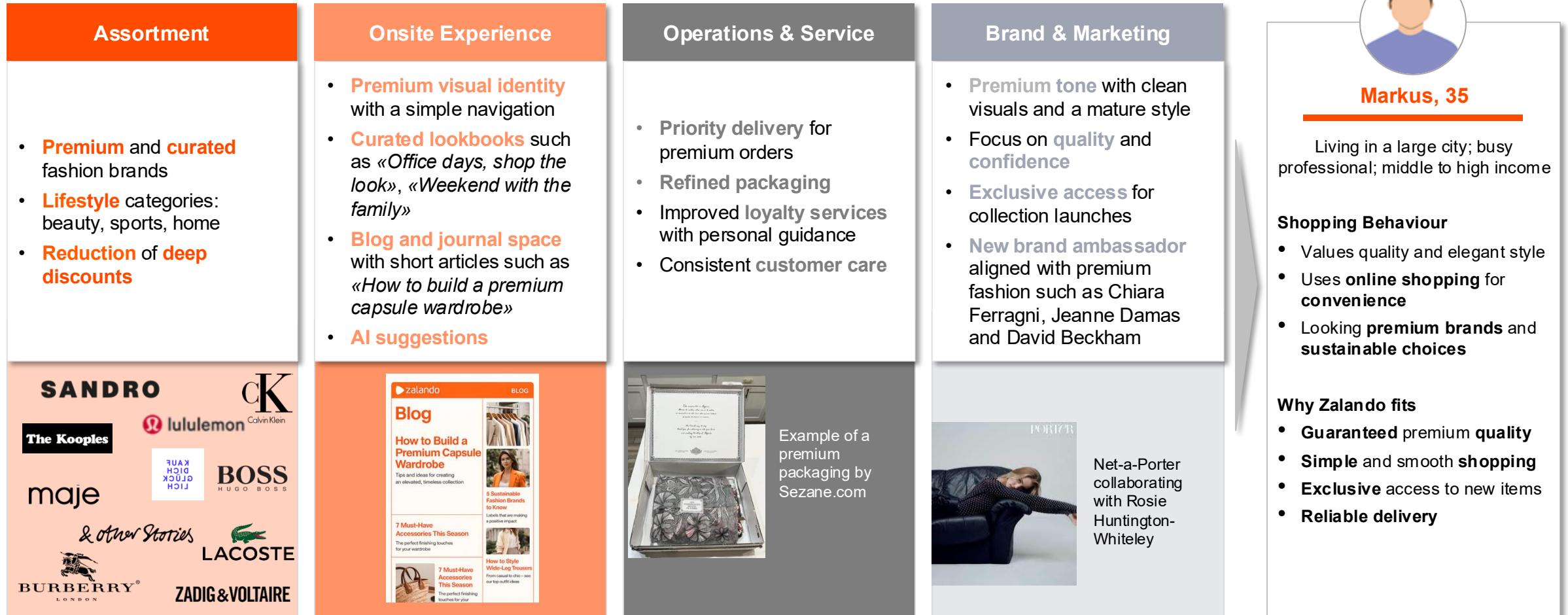
- Curated assortment of good quality, premium brands

- Birthplace of **trends**, fashion through **expression**, **immersive social experiences**

Position **Zalando** as the **trusted destination** for **quality fashion** for **mature customers**, **About You** as the **leading trend discovery** and **social platform for young consumers**.

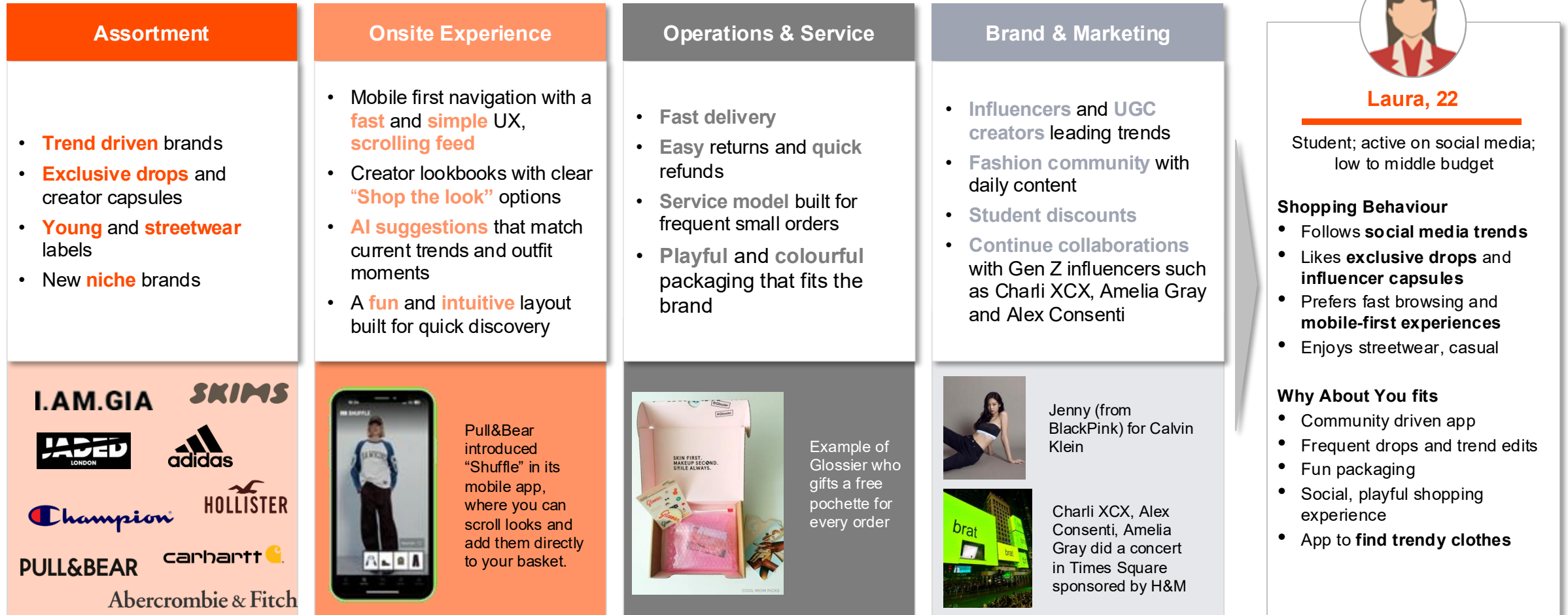
Zalando evolves into a mature, reliable, premium fashion destination with a refined customer experience at every step

Value proposition evolution – Zalando



About You evolves into a social, trend driven fashion destination with an engaging customer experience

Value proposition evolution – About You



Clear areas of competition and collaboration set the foundation for a complementary dual-brand model

The value of the future value proposition

Where they compete



Sports and lifestyle category

Both focus on expanding their sport offering



Sustainability positioning

Both emphasize sustainability as a brand value



Brand and marketing

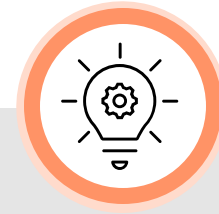
Invest in campaigns and compete for visibility in Europe

Where they collaborate



Technology, logistics & data

Shared tech and fulfilment infrastructure



Customer experience innovation

Joint work on fulfilment, payments, loyalty and UX



Cultural collaboration

Cross-brand teams exchange creative and operational expertise

The value of differentiation

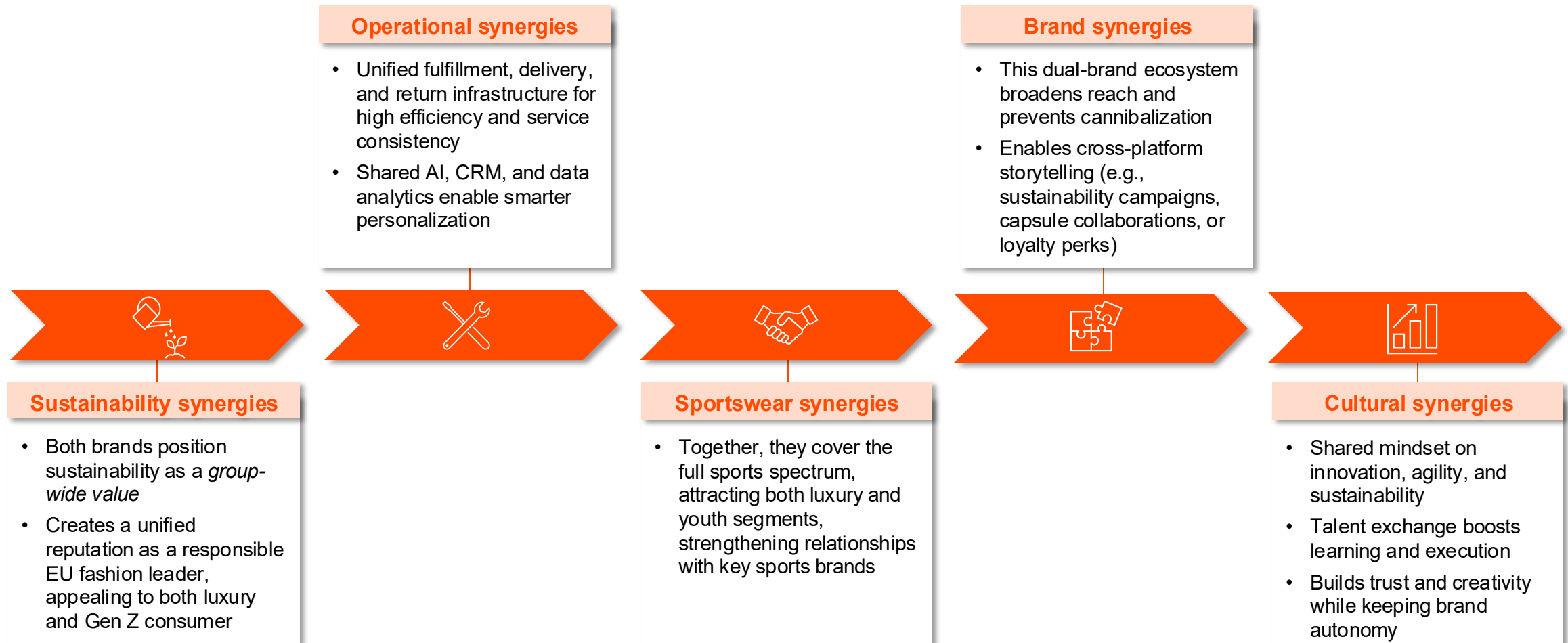
- Broader coverage of the fast-growing sports segment through distinct audiences
- Clear brand roles prevent cannibalization
- Zalando through premium “responsible luxury”
- About You through accessible “conscious youth fashion”
- Different brand voices broaden the Group’s overall reach
- Prevents audience fatigue through unique storytelling styles

The value of overlap

- Cost efficiencies and smoother operations
- Enhanced customer experience across both platforms
- Faster roll-out of new features across both platforms
- Higher retention and conversion through consistent service quality
- Shared culture increase agility and execution speed
- Strengthens group identity while preserving brand independence

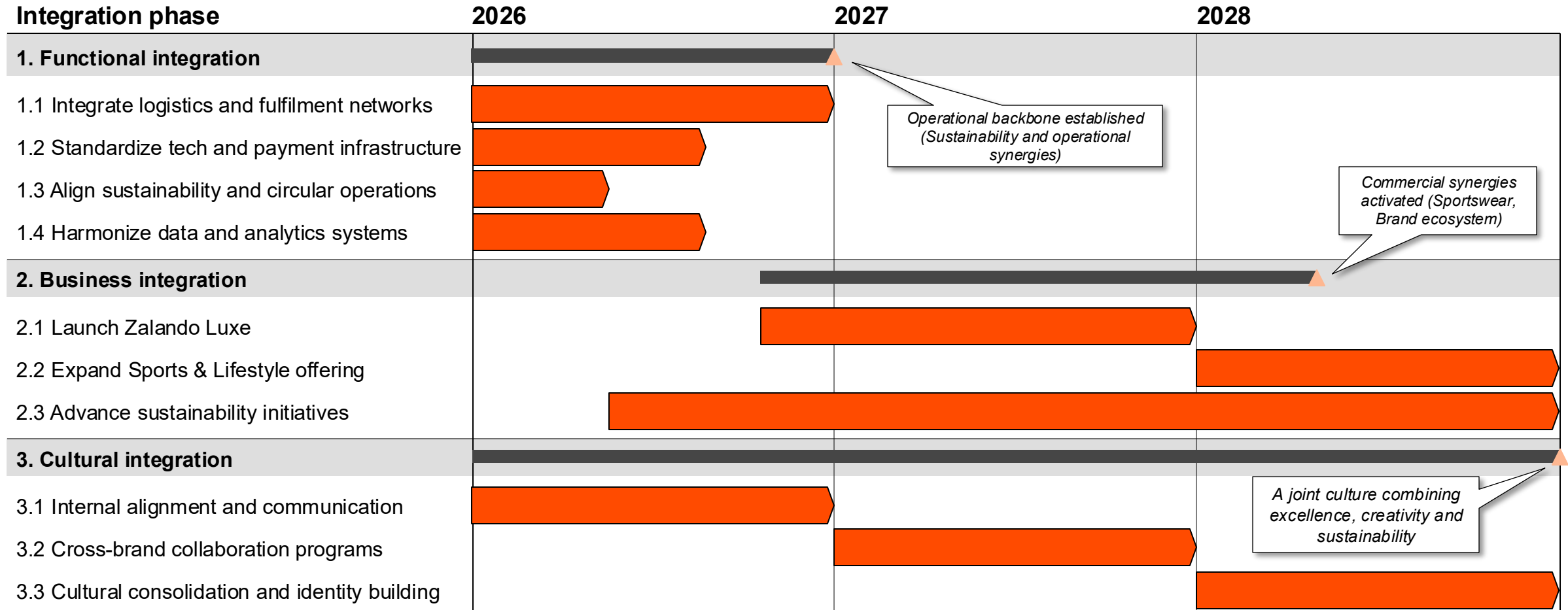
These collaboration patterns translate into five core synergies driving Group-wide value

The synergies



By 2028, a multi-year roadmap will enable full synergy realization for an integrated, dual-brand ecosystem

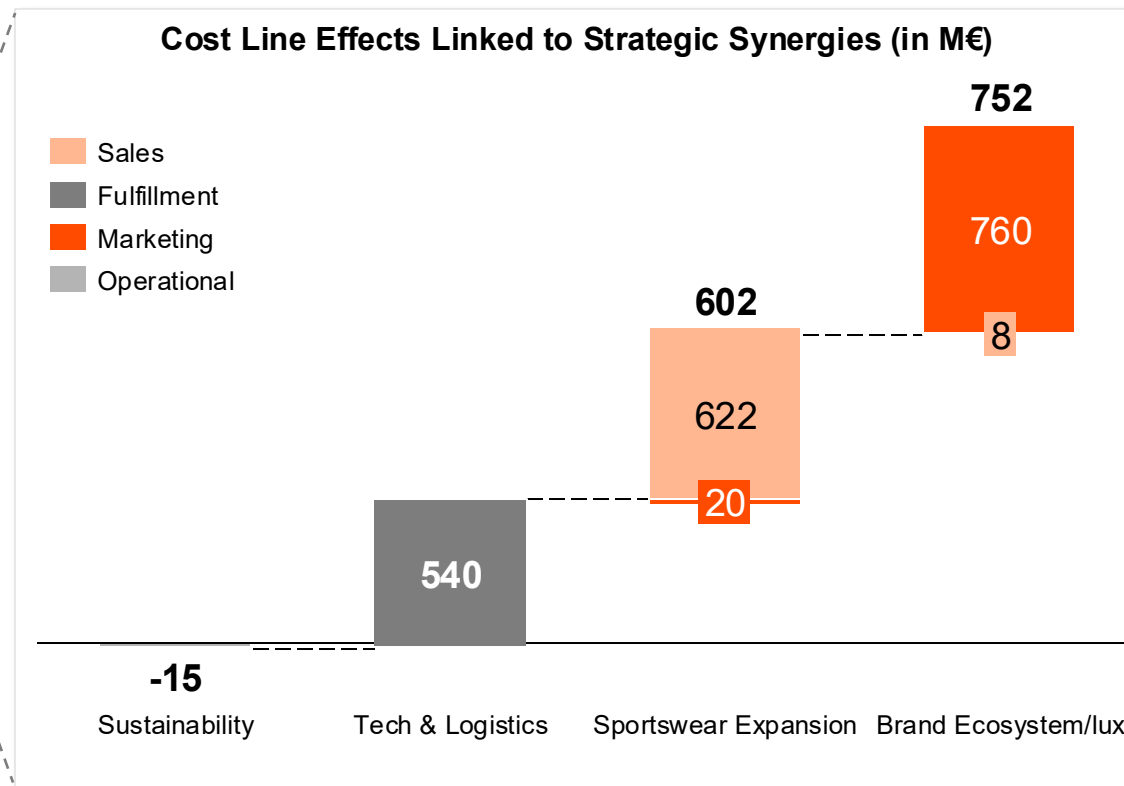
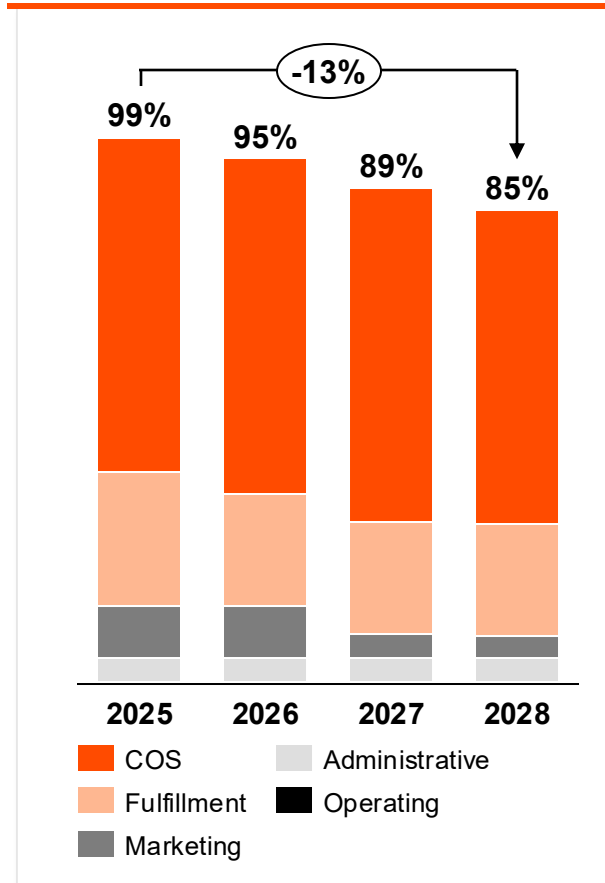
Strategic plan



Strategic synergies drive substantial revenue uplift and EBIT margin gains

Financial outlook

Cost line effects



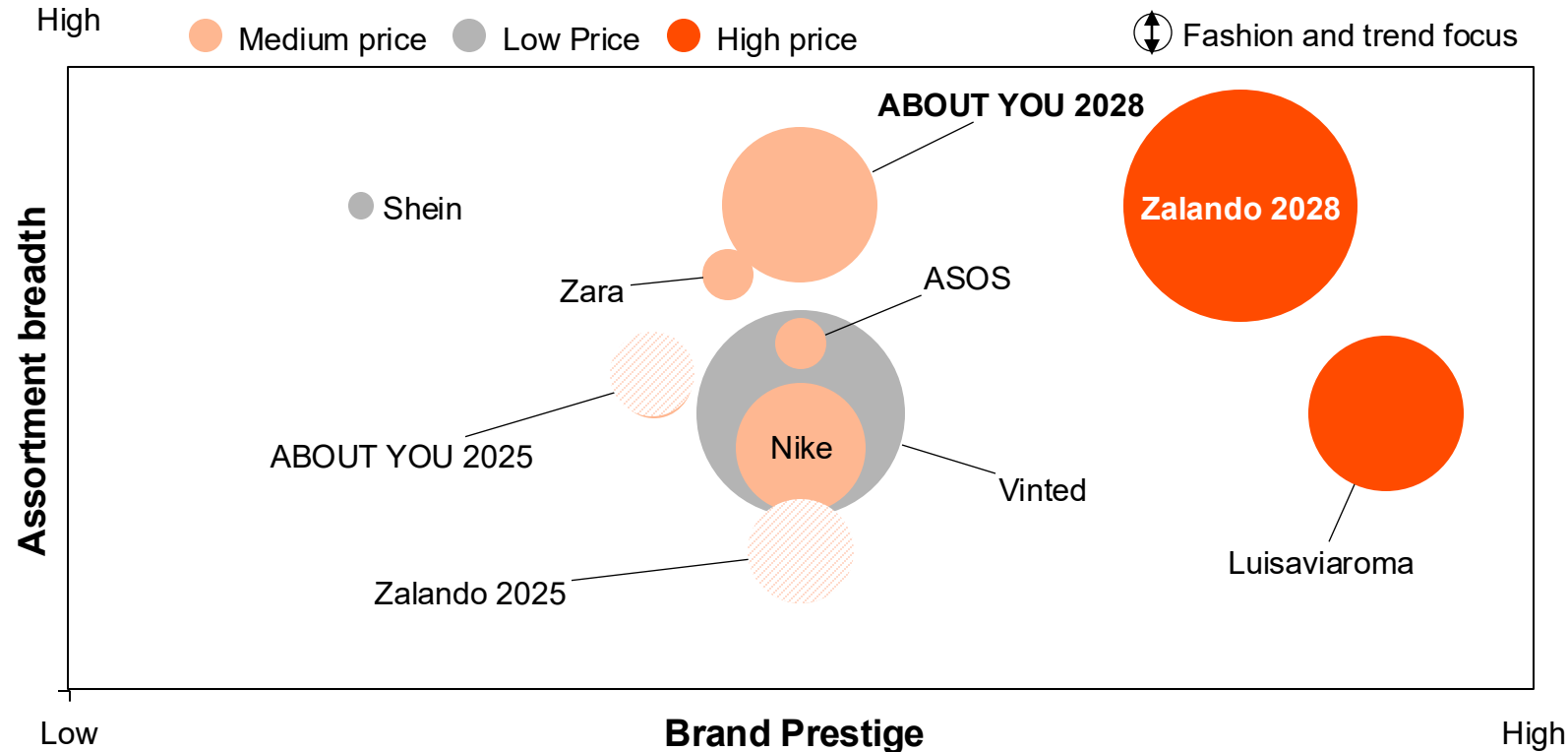
+35% Top uplift by 2028

14.5% EBIT Margin In 2028

7.6% Growth rate In 2028

The dual-brand model now covers both ends of the fashion spectrum, reducing overlap and broadening market reach

The new positioning



Zalando's shift

- The move toward premium resale and brand partnerships aligns Zalando closer to Farfetch and Nike in perception
- This transition builds higher brand trust and pricing power, leveraging sustainability as a premium lever

About You's evolution

- About You differentiates from ASOS and Shein through curated resale and stronger ESG credentials
- Positions the platform as Europe's leading affordable fashion community, balancing trend speed with responsibility

Together, the strengths of both brands will cover all key needs of ecommerce users and help the Zalando Group strengthen its leadership in fashion ecommerce



THANK YOU
Q&A

Appendix

SWOT Analysis – Zalando

Strengths

- maintains the highest brand awareness and market share in the online fashion sector in key European markets
- integrated platform model, which includes the **Partner Program** and the **B2B logistics service (ZEOS)**
- Superior logistical Network
- High-level **digital capabilities** enable personalized recommendations, optimized inventory management, and improved conversion rates.
- low purchasing friction by combining broad selection, free delivery and convenient post-payment options
- Expand the **Pre-owned category** to leverage circularity and sustainability

Opportunities

- Scale the **ZEOS B2B platform** for diversified, high-margin revenue
- Capture higher **e-commerce market share** in Southern and Eastern Europe
- Deepen **Omnichannel integration** via Connected Retail for faster fulfillment

Weaknesses

- High **return rate** results in **high logistical costs**
- Expanding the **proprietary logistics network** requires significant **capital investment** and generates high fixed costs
- Managing **wholesale** (inventory risk) versus **marketplace** (fee-bases revenue) complicates strategic alignment
- High compliance burdens and operational oversight due to **EU's Digital Services Act (DSA)** and classification as a Very Large Online Platform (VLOP)
- Susceptible to fluctuations due to historically low net profitability margin

Threats

- Intensified **competitive pressure** from global platforms and ultra-fast fashion
- Rising **Customer Acquisition Costs** impacting long-term profitability
- Economic **downturn and high inflation** threatening consumer spending
- Strict (Environmental and Social Governance) **ESG requirements** demanding investment in sustainable operations

SWOT Analysis – ABOUT YOU

Strengths

- Strong Brand Identity in Fashion E-commerce
- Attractive & Young Customer Base
- International Expansion Expertise in EU
- Proprietary B2B Technology Platform (SCAYLE)
- Influencer-driven Engagement Mode

Weaknesses

- Limited Scale Compared to Giants
- Logistics & Infrastructure Dependence
- Lower Brand Recognition in Non-DACH Markets
- Hybrid Operating Model Complexity

Opportunities

- AI and Data Analytics for Enhanced Personalization
- Expansion into Non-European Markets
- Sustainability Positioning
- Synergies with Zalando Post-Acquisition

Threats

- Intense Competitive Landscape
- Integration Risks of Acquisition
- Economic Downturn Impact
- Data Privacy Regulations

Zalando moves from a broad mid-market platform to a more curated premium position



Zalando's Current Positioning



Zalando's Future Positioning

About You shifts toward the high-community, trendy marketplace, distancing itself from mass players such as Asos



About You's Current Positioning



About You's Future Positioning

TAM, SAM, SOM – ABOUT YOU

Total Addressable Market

Revenue in the fashion e-commerce market in Europe - 2030

Base 2025: \$241.98B → €209.64B

\$302.76B → €262,30B

CAGR₂₅₋₃₀ → 6.4%¹

Serviceable Available Market

The SAM represents the part of the TAM that About You can actually serve, defined by geography and target audience:

1. Geographic focus²

About You operates in roughly 30 European markets (DACH, France, Italy, CEE, Nordics).

These countries account for ~€ 100–110 bn of EU fashion e-commerce value (≈ 40 % of TAM).

2. Demographic focus

Target group: *young, trendy shoppers* (15–29 years).

According to some estimations³, this group will number 73.82 million people in the EU by 2030.

According to Statista⁴, about 38% of them purchase apparel regularly.

73.82 m × 0.38 = 28.05 million active shoppers

3. Average annual spend per person⁶ ≈ € 550 per capita

SAM = € 15.4 billion

This represents the serviceable market for About You: young (15–29 yrs) fashion-active consumers in the European countries where the brand already operates.

Service Obtainable Market

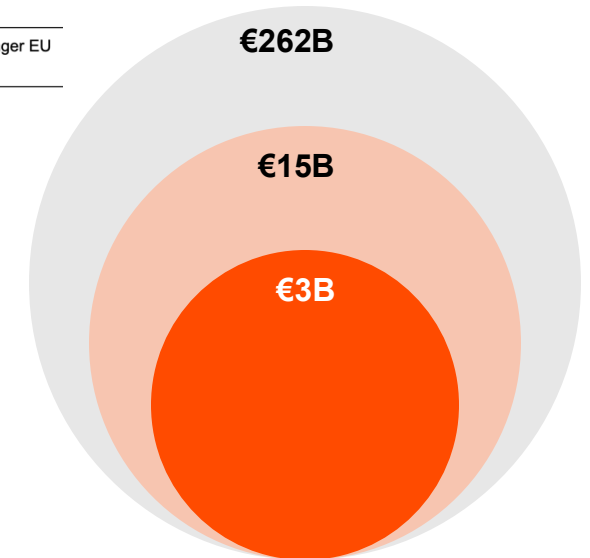
Revenues ABOUT YOU = €2.001,7M⁵

Assuming moderate expansion (brand maturity, post-M&A synergies, higher online penetration among Gen Z):

Scenario	Market share on SAM	SOM value (€ bn)	Interpretation
Conservative	15 %	2.3 bn	Low growth, stable base
Realistic	20 %	3.1 bn	Moderate expansion by 2030
Ambitious	25 %	3.85 bn	High growth, stronger EU penetration

Final SOM estimate

SOM ≈ € 3.1–3.9 billion by 2030



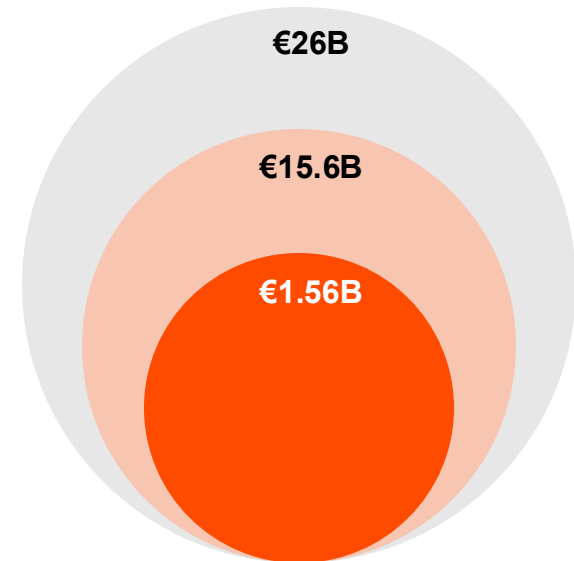
The estimated SOM of €3.1–3.9 billion by 2030 confirms that About You already commands a strong position within its accessible market. Given its high existing penetration among Gen Z and Millennial consumers, this market potential indicates limited need for repositioning or major strategic shifts.

Sources: 1) <https://www.statista.com/forecasts/1301873/europe-fashion-e-commerce-revenue>; 2) <https://www.statista.com/forecasts/1344694/fashion-e-commerce-revenue-europe-country>; 3) <https://op.europa.eu/en/publication-detail/-/publication/8e36df66-20b7-11f0-af23-01aa75ed71a1/language-en/page/11>; 4) <https://www.statista.com/statistics/1618025/splurge-categories-for-gen-z-europe/>; 5) <https://ir.aboutyou.de/English/overview/default.aspx>; 6) <https://www.statista.com/outlook/cmo/apparel/europe>

TAM, SAM, SOM – Sustainability in fashion ABOUT YOU

Market	Formula	Calculation
TAM	/	TAM = €26 billion
SAM ABOUTYOU	TAM × Sustainable Fashion market of Target Region (Europe)	SAM = €26 B × 60% = €15.6 B
SOM ABOUTYOU	SAM × Reachable Consumer Coverage for ABOUTYOU	SOM = €15.6 B × 10% = €1.56 B

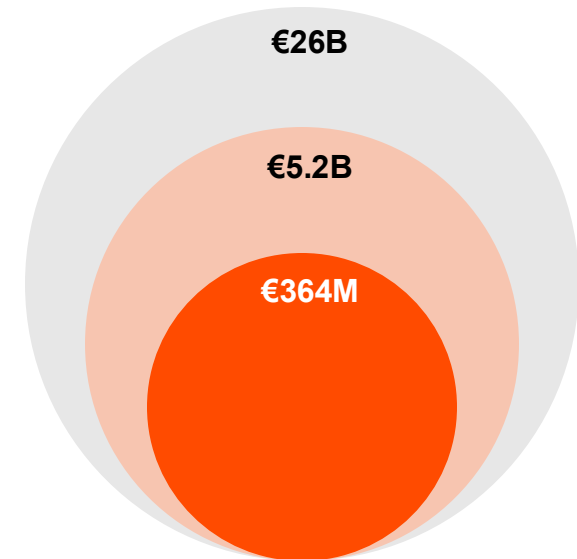
Key Information	Content	Definition
Key Data	€26	Europe's secondhand fashion market projected to reach €26 billion by 2030
	: 60%	Middle price second-hand market is assumed as 60%
Key Assumption	10%	ABOUT YOU's penetration rate in the middle price second-hand fashion market is estimated at 8%-12%



TAM, SAM, SOM – Sustainability in fashion Zalando

Market	Formula	Calculation
TAM	/	TAM = €26 B
SAM ZALANDO	TAM × Sustainable luxury Fashion market of Target Region(Europe)	SAM = €26 billion × 20% ¹⁹ = €5.2 B
SOM- ZALANDO	SAM × Reachable Consumer Coverage for ZALANDO	SOM = €5.2 B × 7% ²⁰ = €364 M

Key Information	Content	Definition
Key Data	€26	Europe's secondhand fashion market projected to reach €26 billion by 2030
	20%	premium and luxury second-hand market:20%
Key Assumption	7%	Zalando's penetration rate in the premium second-hand fashion market is projected at 5%-8%



Cost and revenue distribution of synergies (+assumptions)

Assumptions					
		2026			
Synergy	Cost of sales	fulfillment cost	marketing cost	operational	Revenue
Sustainability				increase in packaging cost -15M	increased rev 1%
Tech & Logistics		540,33			
Sportswear Expansion					
Brand Ecosystem/lux					
		2027			
Synergy	Cost of sales	fulfillment cost	marketing cost	operational	Revenue
Sustainability					
Tech & Logistics					
Sportswear Expansion					
Brand Ecosystem/lux	onboarding cost - (8M)		759,5997502		Revenue ↑ from higher value per sale (AOV +8–10%)
		2028			
Synergy	Cost of sales	fulfillment cost	marketing cost	operational	Revenue
Sustainability					
Tech & Logistics					
Sportswear Expansion	622,2572166		increased marketing cost (+20M)		Revenue ↑ 3%
Brand Ecosystem/lux					

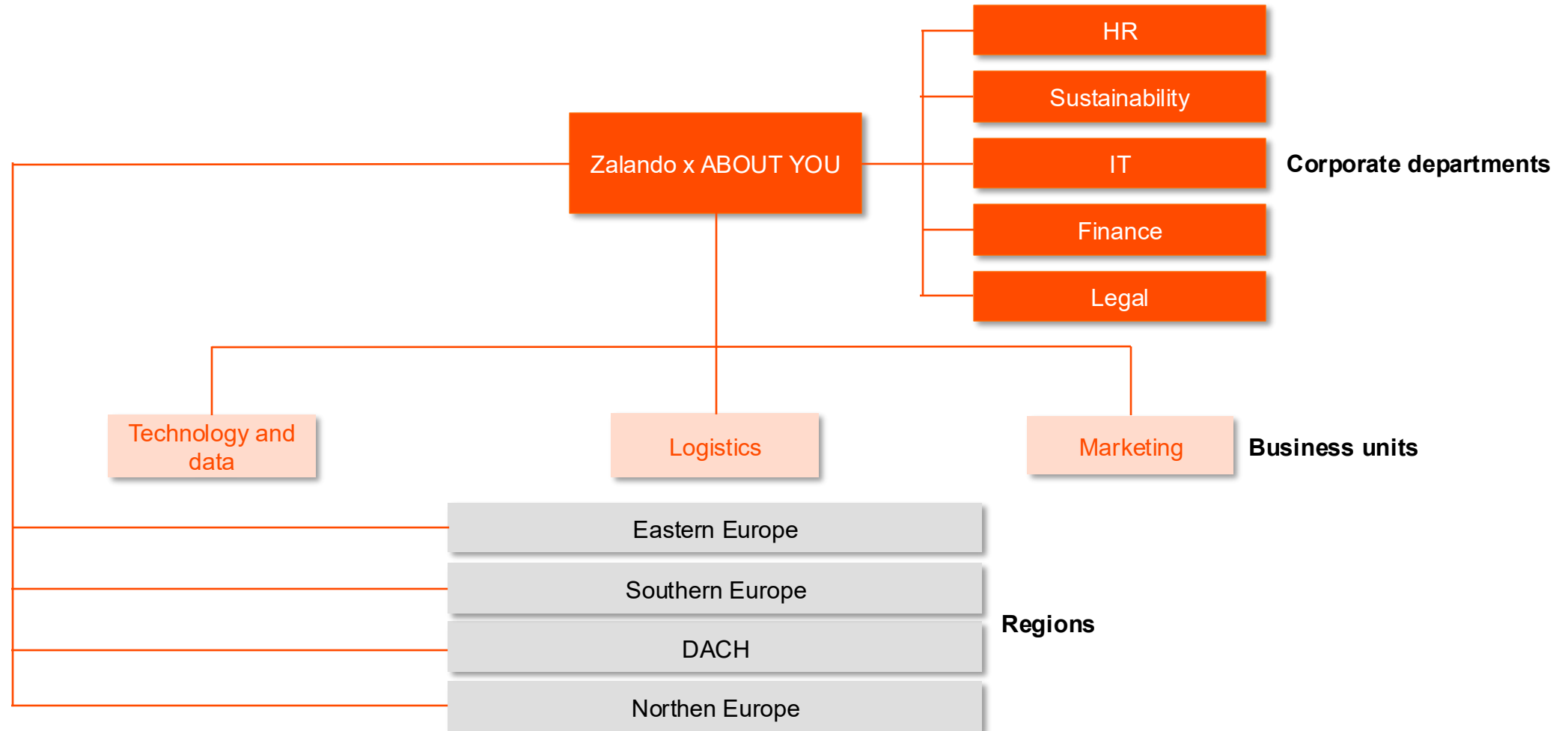
- Sum of eco-packaging procurement, pre-owned platform integration, circular logistics; anchored to Zalando & ABOUT YOU sustainability spend
- Revenue uplift via premium pricing for sustainable products
- Cost of onboarding premium brands
- Increase in average value of product due to premium brands
- Inventory purchasing for sports marketing campaigns
- Revenue uplift from high-growth sportswear segment
- Increased revenue due to market expansion

Segment	Benchmark	as a model assumption
Sportswear	+9.9% CAGR	Order-volume growth driver
Pre-owned	+7.7% annual growth	New category uplift / higher conversion
Premium & Luxury	Online share rising 12→16%	Supports AOV/margin increase
Premium brands	+8–10% AOV increase	Revenue uplift formula
Sportswear returns lower	Typically 20–30% lower	Reduce reverse-logistic cost
Higher margins in sportswear	+3–5 p.p. vs fashion	Gross margin uplift
Shared marketing ecosystem	–10–20% CAC	Marketing cost reduction

Financial projects and effects on synergies

	2025	2026	2027	2028				
Revenue	12450	13383,75	14388,97	15477,42441				
CAGR(7.5%)								
revenue rate	7,50%	7,51	7,57	7,66				
revenue increase from synergy		124,5	803,025	1295,0073		total % change in cost (2025-2028)		
total revenue		13508,25	15191,995	16772,43171	4322,431713			
COS	60,40%	60,40%	60,11%	56,40%	34,71832702	-4,00%		
fulfillment cost	24,30%	20,30%	20,30%	20,30%		-4,00%		
marketing cost	9,30%	9,30%	4,30%	3,99%		-5,31%		
administrative exp	4,30%	4,30%	4,30%	4,30%		0,00%		
operating exp	0,40%	0,48%	0,48%	0,48%		0,08%		
change in cost		-4%	-5%	-4%		-13,23%		
COST SAVINGS		-529,463	-803,6326606	-673,9771343				
COS	€ 7 519,80	8158,983	9132	9459,651486				
fulfillment cost	€ 3 025,35	2742,17475	3083,974986	3404,803638				
marketing cost	€ 1 157,85	1256,26725	653,2557851	669,596				
administrative exp	€ 535,35	580,85475	653,2557851	721,2145637				
operating exp	€ 49,80	64,9	72,92157602	80,50767222				
total cost	€ 12 288,15	12803,17975	13595,40813	14335,77336				
EBIT	€ 161,85	705,07025	1596,586871	2436,658353				
EBIT margin	1,30	5,22	10,51	14,52775838				

Organizational structure for synergies' application



Sources

- Sportswear market: <https://www.statista.com/statistics/1357855/value-and-growth-of-the-european-sportswear-market/>
- Sportswear market: <https://www.grandviewresearch.com/industry-analysis/sportswear-mark>
- Second/Hand/Market: <https://www.futuremarketinsights.com/reports/second-hand-apparel-market-in-europe>
- Second/Hand/Market: <https://www.fashionnetwork.com/news/Europe-s-secondhand-fashion-market-projected-to-reach-26-billion-by-2030.1722442.html>
- Luxury Second/Hand/Market: <https://www.uniformmarket.com/statistics/luxury-clothing-market>
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- Activewear, Gen Z: <https://web-assets.bcg.com/e9/55/28d5934b44c6a18e83554c7d0d1a/bcg-activewear-trends-report.pdf>
- Zalando/Investor/Factbook: https://corporate.zalando.com/sites/default/files/media-download/Zalando-SE_Investor_Factbook_November_2025.pdf
- Revenue in the fashion e-commerce market in Europe: <https://www.statista.com/forecasts/1301873/europe-fashion-e-commerce-revenue>
- Revenue in the fashion e-commerce market in EU by region: <https://www.statista.com/forecasts/1344694/fashion-e-commerce-revenue-europe-country>
- Demographic in EU: <https://op.europa.eu/en/publication-detail/-/publication/8e36df66-20b7-11f0-af23-01aa75ed71a1/language-en>
- Gen Z shopping habits: <https://www.statista.com/statistics/1618025/splurge-categories-for-gen-z-europe/>
- Revenues About You: <https://ir.aboutyou.de/English/overview/default.aspx>
- Average annual spend per person: <https://www.statista.com/outlook/cmo/apparel/europe>
- Financials of zalando : <https://corporate.zalando.com/en/investor-relations/financial-reporting>
- Zalandos strategy :<https://marketplace-universe.com/zalandos-marketplace-strategy/>
- News article on financial projections : <https://ir.aboutyou.de/English/investor-relations/financial-publications/default.aspx>
- <https://www.modaes.com/global/companies/zalando-definitively-closes-its-takeover-bid-for-about-you>
- <https://www.reuters.com/business/retail-consumer/zalando-confirms-q3-preliminary-results-growth-both-segments-2024-11-05/>
- 2024 Annual Report of Zalando
- 2024 Annual Report About You